Deconstructing a financial statement

The profit and loss account shows revenues, costs, and expenses—how much money the business makes—over an accounting period. The balance sheet shows what a business is worth at the time it is published, and is relevant to investors as it reveals assets, liabilities, and shareholders' equity—all useful for gauging business health. The cash-flow statement shows the movement of cash within a business—its liquidity. However, along with the big three financial statements, an annual review contains a wealth of information about a company's performance, of interest to its stakeholder groups. It is often the notes that bring statements to life.

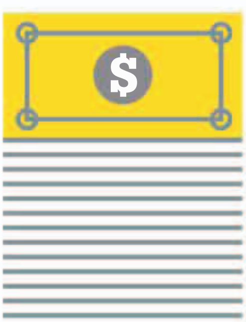
TAXES

The percentage of business taxes taken by governments varies from country to country but the generic types remain similar:

- **Direct taxes** are levied directly on profits or income and include income taxes, inheritance taxes, and taxes relating to sales or purchase of property and other capital assets.
- **Indirect taxes** are paid on goods or services, such as sales taxes. Indirect taxes are often targeted to reduce consumption of harmful goods, a factor relevant to companies working in the alcohol and tobacco industries.
- **Green taxes** are increasingly common and are often indirect. They are generally used as a way of prohibitively increasing the price of goods or services harmful to the environment, such as air travel, landfill sites, or fuel, to diminish their use.
- **Corporation tax** is only paid by companies, not by sole proprietors or partnerships. It is levied as a percentage of the company's total profit.

Case study: the details

Financial statements are presented as part of the annual report, which also publishes case studies, quotations, statistics, and profiles of customers, suppliers, employees, and directors. The notes, often running to 20 pages or so, contain tables and text that flesh out the financial information. The following examples are taken from the 2013 annual review of UK utility company Wessex Water.



Our finance

This section contains the headline financial figures of the business, such as profits, taxes paid, assets owned, liabilities, and dividends paid out, as well as some more detailed explanation of the figures.

Sustainable investment

Wessex Water's investment in sustainability includes mandatory expenditure and extra discretionary expenditure (at the time of the review, £1 = $1.58).

	2013 £m	2012 £m
CUSTOMERS AND COMMUNITIES	55	38
ENVIRONMENT	30	25
EMPLOYEES	49	46
INFRASTRUCTURE	139	116
TOTAL	**273**	**225**